system, forcing established organizations to offer more favorable terms to retain member states. This dynamic undermines their leverage, making it harder for them to enforce rules and achieve their policy goals. In some cases, it leads to a race to the bottom, with IOs prioritizing membership retention over long-term efficacy (Busch 2007; Alter and Meunier 2009; Davis 2009; Clark 2022).

In short, state participation is the lifeblood of IOs. Membership provides critical financial resources, information, and legitimacy—without which IOs struggle to function as effective governance actors. The emergence of alternative IOs disrupts this delicate ecosystem, allowing states to shop for institutions that best suit their interests and ideologies. This is particularly true when rival IOs are spearheaded by populists, whose goals often clash with those of traditional, Western-led organizations.

Competition among IOs is most intense when leading member states in each organization are ideologically or geopolitically unaligned (Clark 2025). For example, populist-led IOs frequently position themselves as counterweights to Western institutions, reinforcing divides between global governance models. This divergence adds another layer of complexity to an already fragmented international landscape, challenging the ability of IOs to act cohesively in addressing global issues.

The proliferation of rival institutions led by populists underscores the challenges facing established IOs in maintaining their relevance and authority. While these alternative IOs may lack the resources or influence of their more entrenched counterparts, their very existence shifts the balance of power, creating new fault lines in the international order. For traditional IOs, navigating this competitive terrain requires a careful balance of reform, strategic engagement, and resilience to counter the populist-driven reshaping of global governance.

2.2.3 Cutting Funds

One of the most impactful ways populist leaders can weaken IOs is by cutting their funding. This tactic, whether executed through outright refusal to make payments or through strategic delays, severely undermines an IO’s operations. The 2024 decision by the United States and several European states to freeze funding to UNRWA (United Nations Relief and Works